

ESG RATINGS

INDIAN ACCENT

The ESG rating providers certified by Sebi have to now come up with models that take India's specific circumstances into consideration

BY RICH A SHARMA

16 |



ILLUSTRATION BY RAJ VERMA

► **A COMPANY WITH** investments in fossil fuels like coal and petroleum would certainly score low on ESG (environmental, social, and governance) parameters of any global rating provider. But an Indian ESG rating provider (ERP) may consider other factors at play, like the primacy of such fuels in a developing country.

Take coal as an example. It looks

₹10,820
CRORE

**THE ASSETS UNDER
MANAGEMENT
OF ACTIVE ESG FUNDS**

set to remain the primary source of energy for the next few years considering India's developmental needs. That may not be a valid consideration for a foreign ERP, but an Indian one is expected to take this into account.

Such considerations seem to have been the trigger behind the Securities and Exchange Board of India's